

ALVO pitch deck

PITCH — ALVO — VERDICT

PROPOSED — PENDING ADJUDICATION — Do not buy. Both benches ended at no-position, and the reason is not price: the profit number the whole story rests on is not backed by cash, and part of the one growing revenue line is a sale to a company that shares Alvotech's own large shareholder.

What we believe

Alvotech makes biosimilars — copies of expensive biologic drugs. It is based in Luxembourg with its main plant in Reykjavík, Iceland. Trading at \$4.27, down 54% from its 52-week high but up 45% from its low.

Three things we believe, in order of how much they matter:

1. The headline profit is not cash. For the first six months of 2026 the company reported “adjusted EBITDA” of **+\$46.9M**. Over the same six months, cash actually generated by operations was — **\$80.2M**. That is a \$127M gap, and a \$148M swing from the same period last year (+\$68.3M). Every valuation multiple anyone quotes on this stock — ours included — divides by a number that did not turn into cash. Source: the company's own management discussion filed 19 Aug 2026 ([mdaq22026.htm](#)).

2. The one revenue line that still looks healthy is propped up by a related party. Product revenue halved (−48%). Licensing revenue looked resilient at \$105.7M, up 4.4%. But buried in the related-party note of the interim financial statements is \$39.8M — 37.6% of that line — recognized in the second quarter under a new licensing agreement with “an entity under common control/influence.” Alvogen Lux owns 28.2% of Alvotech. Strip that item out and licensing is −35%, and total revenue is −44%, not the −31% the press release implies. The current CEO came from Alvogen at the end of Q1 2026, and the 21 Aug 2026 announcement is another deal — with Lotus Pharmaceutical, Alvogen's acquirer ([6-K, 21 Aug 2026](#)).

3. Even if everything goes right, you don't get paid much. Using corrected share count (361M) and the 30 June balance sheet, enterprise value is about **\$2.78B** — roughly 13.9× the midpoint of management's own 2026 profit guidance. If the company hits the *high* end of guidance (\$220M) and the market pays today's same multiple, the stock is worth about **\$5.04** — up 18%. To make +50% you need the market to pay 16.2×, an expansion nobody has argued for. Meanwhile the downside leg is real: if the guide is missed and the multiple compresses to 11×, the math gives **\$2.66**, down 38%.

So: the upside is thin, the downside is wide, and the number in the middle is unverified. That is a pass, and it would be a pass at a somewhat lower price too.

What the market believes

The market believes management. On 19 Aug 2026 Alvotech reported half-year revenue of \$211.9M (down from \$306.1M) and a loss — and **the stock rose about 7%** to \$4.27. Headline coverage read “Reports Q2 Loss, Beats Revenue Estimates.” The market bought the print, because management reaffirmed full-year guidance of \$650–700M revenue and \$180–220M adjusted EBITDA, blamed the shortfall on temporary manufacturing and quality-system work following an FDA inspection, and said the plant returned to planned operating levels at the end of Q2.

Wall Street analysts are slightly more cautious than management but not much: consensus full-year revenue is \$644.8M–\$663.8M, which implies a second half of \$433–452M. Management’s guidance implies \$438–488M. So the street sits at the very bottom of management’s range — shading it about 5%, not rejecting it.

Nobody appears to be publicly focused on the cash-flow gap or the related-party revenue.

Why we might have edge

Four things we found that are not in the coverage, all sourced from filings rather than press releases:

- **The cash-flow gap.** It is disclosed, but only in the management discussion filed alongside the earnings release — not in the press release, which leads with adjusted EBITDA. Analysts writing same-day off the PR would not have it.
- **The related-party licensing revenue.** Disclosed only in a note to the interim financial statements. The press release presents the licensing line as resilient with no indication that 37.6% of it came from a company connected to Alvotech’s 28.2% shareholder.
- **Shareholders’ equity is negative.** Total equity at 30 June 2026 is **–\$191.5M** against \$1.306B of borrowings and \$1.588B of assets ([interim statements](#)). Not a going-concern flag — management asserts twelve months of liquidity — but it means any further shortfall is funded by issuing stock or borrowing more from an existing creditor.
- **\$110M of payables to related-party landlords.** Fasteignafélagið Eyjólfur ehf (\$95.9M) and Flóki fasteignir (\$13.7M) sit outside the reported borrowings figure, so the true obligation load is understated by anyone reading only the debt line. Including them cuts the “everything goes right” price from \$5.04 to about \$4.74.

Whether this is *edge* depends on whether these facts eventually move the price. They are all in public filings; we found them by reading the statements rather than the release, which is a repeatable process advantage, not a secret.

Why it might be priced in

Stated plainly, because parts of the bearish case are already consensus and one of our concerns has a legitimate innocent explanation:

- **The second-half growth question is not a discovery.** Our own initial write-up treated “they need 53–70% growth in H2” as a devastating find. Analysts model almost exactly that. Agreeing

with the street is not an edge in either direction.

- **The business genuinely is back-half loaded.** In 2025, Q4 alone did \$173M revenue and \$69M adjusted EBITDA out of a full year of \$593M/\$137M — implying Q3 was roughly \$114M/\$14M. A guidance shape that looks absurd on a straight-line read is closer to normal for this company.
- **The cause of the revenue decline checks out as temporary.** We tested whether adalimumab (Humira biosimilar) was losing formulary placement — which would mean the revenue is gone, not delayed. The management discussion attributes it in primary text to post-inspection quality-system work, i.e. supply-side. That supports management’s story.
- **The stock is already down 54% from its high** and the last equity raise cleared at \$3.75. A lot of skepticism is in the price.
- **The cash-flow gap may be timing, not quality.** Working capital rebuild after a manufacturing pause plausibly consumes cash. We cannot yet distinguish “timing” from “the profit isn’t real” — which is precisely why this is a pass rather than a short.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Spot price \$4.27, -54% from high, +45% off low	Broker feed in the evidence pack; internal consistency check (9.25 × 0.462 = 4.27)	Arithmetic reconciles	Yes — but see the bench error below: neither of our benches could independently verify the price. Our broker contract-search permission was denied to both. We are relying on one feed and one secondary read
“The market discriminated correctly and sold the damage” (our own opening read)	Print-day coverage	The stock rose ~7% on the print . \$4.27 is a post-rally price, not a post-damage price	Our own error. Our opening write-up built a whole thesis on tape action it never checked
Total borrowings and equity	424B5 capitalization table (31 Mar) vs interim statements (30 Jun)	\$1.306B borrowings; equity -\$191.5M	Yes — and our first bench got this wrong, using the stale 31 March figure of –\$282.3M, overstating the deficit by 32%
Share count for valuation	Interim statements + merger terms + 424B5	356.8M outstanding; correct basis ≈361M	Our first bench erred both ways: its 352.65M basic count was 4.2M too low, and its 395.8M “fully diluted” figure was inflated — it counted

Claim	How checked	Found	Confirmed?
			19.2M earn-out shares that only vest at \$15/\$20 (expiring June 2027, worthless here), 7.6M of unissued reserve, and 11.8M convertible shares <i>while also</i> counting the \$69.9M of convertible principal as debt — a double-count
“Street models the guide within 1%”	Consensus estimates	Street is at the bottom of the guide-implied range, ~5% below midpoint	Our first bench got the direction wrong. The street is shading the guide, not endorsing it
Does the company’s own reported profit convert to cash?	Cash-flow summary in the management discussion	Operating cash flow – \$80.2M vs adjusted EBITDA + \$46.9M	Yes — and neither bench had this until the second one pulled the statement. This became the deciding fact
Is the licensing line clean?	Related-party note, interim statements	\$39.8M of \$105.7M is common-control revenue	Yes — and our first bench explicitly cleared this, declaring the disclosure consistent after comparing the press release only to the earnings exhibit, which is the same document family. Comparing the release to the financial statements filed the same day surfaces the gap
Prior-year baseline (\$593M / \$137M for 2025)	Company investor-relations release	Confirmed, plus Q4-2025 of \$173M/\$69M	Yes — our first bench flagged this as unverified and was right to; the second closed it
Is the Reykjavík plant actually running again?	Satellite thermal signature of the plant	Weak signal, trend slightly down, no visible Q2-2026 step-up	No — inconclusive, not disconfirming. At 64°N latitude the imagery is too sparse to call. Separately, our address-matching resolved only the Luxembourg registered office, not the actual plant — an

Claim	How checked	Found	Confirmed?
			infrastructure defect worth fixing
Is there an FDA enforcement action alongside the inspection finding?	Attempted FDA enforcement database query	Could not run — tool unavailable	No. Open gap.
“Liquidity was further strengthened”	Reading what the strengthening was	A \$75M facility from GoldenTree, an existing large creditor — not new market access	Yes

PROPOSED ENTRY BANDS

The courts say no entry. No buy at any price today, because the objection is data quality, not valuation — a cheaper price does not make an unverified profit number verified. Reopen conditions below, in required order.

Step 1 — the data gate must clear first (mandatory, no price substitutes for it). Reopen the file only if one of these happens:

- The next results release includes a cash-flow statement showing **operating cash flow at or above reported adjusted EBITDA** for the second half, or at minimum a full-year operating cash flow that is not deeply negative; **or**
- The 2026 annual report (Form 20-F) related-party note quantifies the Alvogen/Lotus licensing revenue and shows the recurring, non-related-party business standing on its own.

Step 2 — only if Step 1 clears, these are the price bands. All from the benches’ own arithmetic, using 361M shares and \$1.238B net debt:

Band	Price	What it means
Do not chase	above \$5.04	13.9× on the <i>high</i> end of guidance — the entire “management wins” outcome is already paid for
Fair, no margin	\$4.27 (today)	13.9× the midpoint of guidance. Upside if all goes right: +18%
First starter band	\$3.20–\$3.25	12× the guidance midpoint fully in the price — you are paid for a delivered guide with zero multiple expansion. Size 0.4% of the book
Add band	\$2.90–\$2.70	11× guidance midpoint (\$2.66) and the 52-week low (\$2.94) converge here. Add 0.3% , total cap 0.75% of book
Do not average below	under \$2.60	Below this the market is pricing a missed guide plus a dilutive raise; that is a different thesis and needs a new court

Caution on the \$3.75 line. The June 2026 raise cleared at \$3.75 (22.67M public shares plus a 17.83M private placement, \$164.6M gross). Against first-half cash consumption of \$171M and \$217.8M of available liquidity, a further raise in 2027 is plausible if the second half disappoints. Bidding between \$3.75 and \$4.27 means bidding just above where the company itself last sold stock, into supply we ourselves predict. Don't.

Trims/exits: not applicable — no position. If a position is ever established, first trim at \$5.04, full exit at \$6.40 (16.2×, the level where the trade would have paid +50% from the starter band).

Catalyst dates: - Q4 2026 (no specific dates given by the company): FDA decisions on AVT05, AVT06 and AVT03. Management says review goal dates are “in alignment with the standard 6-month process, with decisions anticipated in the fourth quarter of 2026.” These are the only company-stated dated events. - **2026-11-11 — UNCONFIRMED.** This is a data-vendor estimate of the next results date. No company announcement names it. Do not treat as a real date. - **2027-06-15:** earn-out shares expire unvested unless the stock reaches \$15/\$20 — irrelevant to value at \$4.27 but relevant to share count if the stock ever runs.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 2.6 (deck-provisional: below this the market prices a missed guide plus dilution; different thesis, requires a new court)
- filing watch: 6-K until 2027-02-17 (deck-provisional: next results release - compare operating cash flow directly against reported adjusted EBITDA; H1 showe)
- dated pack ALVO|2026-12-31: ALVO: company-stated Q4 2026 FDA decision window for AVT05, AVT06 and AVT03 - quarter stated, no specific dates given (date confirmed=False)
- dated pack ALVO|2026-11-11: ALVO: vendor-estimated next results date - no company announcement names it (date confirmed=False)
- dated pack ALVO|2027-06-15: ALVO: 19.165M earn-out shares expire unless the stock reaches \$15/\$20 VWAP hurdles (date confirmed=True)

What remains unverified

Stated plainly, including the things that would embarrass us:

1. **Nobody in this court independently verified the price.** Our broker price tool refused the request for both benches. \$4.27 comes from one data feed plus a secondary news read. Everything downstream — the multiple, the bands — inherits that.
2. **Whether the –\$80.2M operating cash flow is timing or quality.** A working-capital rebuild after a manufacturing pause consumes cash legitimately. We have the number but not the decomposition, and that distinction is the whole thesis.

3. **Whether the FDA inspection has an enforcement or recall companion.** We could not query the database. Open.
 4. **Whether the Reykjavík plant genuinely returned to planned output.** Management says so and the management discussion supports the cause story, but our independent instrument (satellite thermal) returned no usable signal at that latitude. Absence of corroboration, not contradiction.
 5. **Whether the Q4-heavy seasonality survives 2026 specifically.** 2025's Q4 was 29% of the year's revenue and half its profit. Whether 2026's Q4 can repeat that depends on FDA approvals landing early enough in the quarter to ship — we have not stress-tested that timing.
 6. **Whether the Lotus agreement announced 21 Aug is arm's-length.** Lotus acquired Alvogen; Alvogen owns 28.2% of Alvotech. The economics of that deal are not disclosed. This is the second such agreement in two quarters.
 7. **Whether competing biosimilars are filed against the same targets.** The FDA does not publish pending biosimilar applications, and the Orange Book does not cover biologics. Not checkable with public data.
 8. **The concentration risk in adalimumab (AVTo2).** Real, acknowledged, and not quantified by either bench.
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